

Personal Trading Project

Market Research · Technical Analysis · Excel

A personal project focused on studying financial markets, price action, market structure, and trading strategies. This guide walks through the fundamentals a beginner needs — from what a candlestick represents, up to reading support, resistance, and trend structure in practice.

Price Action

Candlesticks

Support & Resistance

Trend Structure

Risk Mgmt

CONTENTS

01 What Is Trading?

02 Core Terms

03 Reading a Candlestick

04 Bullish vs Bearish

05 Candlestick Patterns

06 Trends & Ranges

07 Support & Resistance

08 Trendlines

09 Risk Management

10 Putting It Together

BASICS

What Is Trading?

Trading is the act of buying and selling a financial instrument — like a currency pair, stock, or commodity — with the goal of profiting from a change in its price. If you buy at a lower price and sell at a higher price, you profit. If price moves against you, you lose money.

Everything in this guide builds toward one core skill: reading a price chart well enough to make an informed decision about where price is likely to go next, and managing risk in case it doesn't.

Three things every trader analyzes

01 Price Action

How price has moved historically — the raw shape of candles on a chart.

02 Market Structure

Whether price is trending up, down, or moving sideways in a range.

03 Key Levels

Support and resistance zones where price has reacted before.

BASICS

Core Terms To Know

Pip

The smallest standard price move a currency pair can make. For most pairs, one pip is a change in the 4th decimal place (e.g. 1.1050 → 1.1051).

Lot

A standardized trade size. A standard lot is 100,000 units of the base currency; mini and micro lots are smaller fractions of that.

Spread

The gap between the buy (ask) price and sell (bid) price of an instrument — effectively the cost of entering a trade.

Leverage

Borrowed capital that lets a trader control a larger position than their account balance alone would allow. It magnifies both gains and losses.

Bid / Ask

Bid is the price buyers are willing to pay; ask is the price sellers are willing to accept. You buy at the ask, sell at the bid.

Volatility

How much and how fast price moves over a given period. Higher volatility means bigger price swings in both directions.

PRICE ACTION

Reading a Candlestick

Each candlestick represents price movement over one time period — it could be 1 minute, 1 hour, or 1 day, depending on the chart's timeframe. Every candle records four values: the Open, High, Low, and Close.



PRICE ACTION

Bullish vs Bearish Candles

The color of a candle tells you which direction price moved during that period. This is the very first thing traders learn to read at a glance before looking at anything more advanced.

**Green (Bullish)**

Buyers pushed price up during the period — close finished above open.

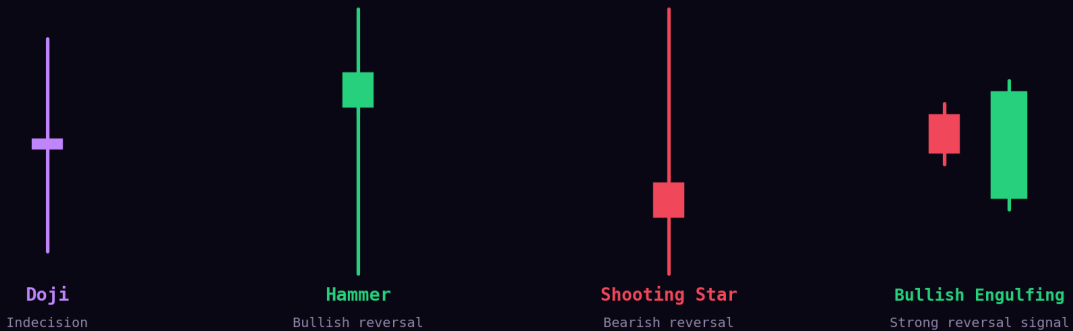
Red (Bearish)

Sellers pushed price down during the period — close finished below open.

PRICE ACTION

Common Candlestick Patterns

Certain candle shapes repeat often enough that traders assign them names and meaning. These four are among the most widely recognized starting points for spotting potential reversals.



A single pattern is rarely a reason to trade on its own — it becomes meaningful when it appears at a key level, like support or resistance, which you'll see next.

MARKET STRUCTURE

Trends & Ranges

Price only ever does one of three things: trend up, trend down, or move sideways in a range. Identifying which of the three is happening comes before any decision about entering a trade.

**Uptrend**

A series of higher highs and higher lows — buyers are in control.

Downtrend

A series of lower highs and lower lows — sellers are in control.

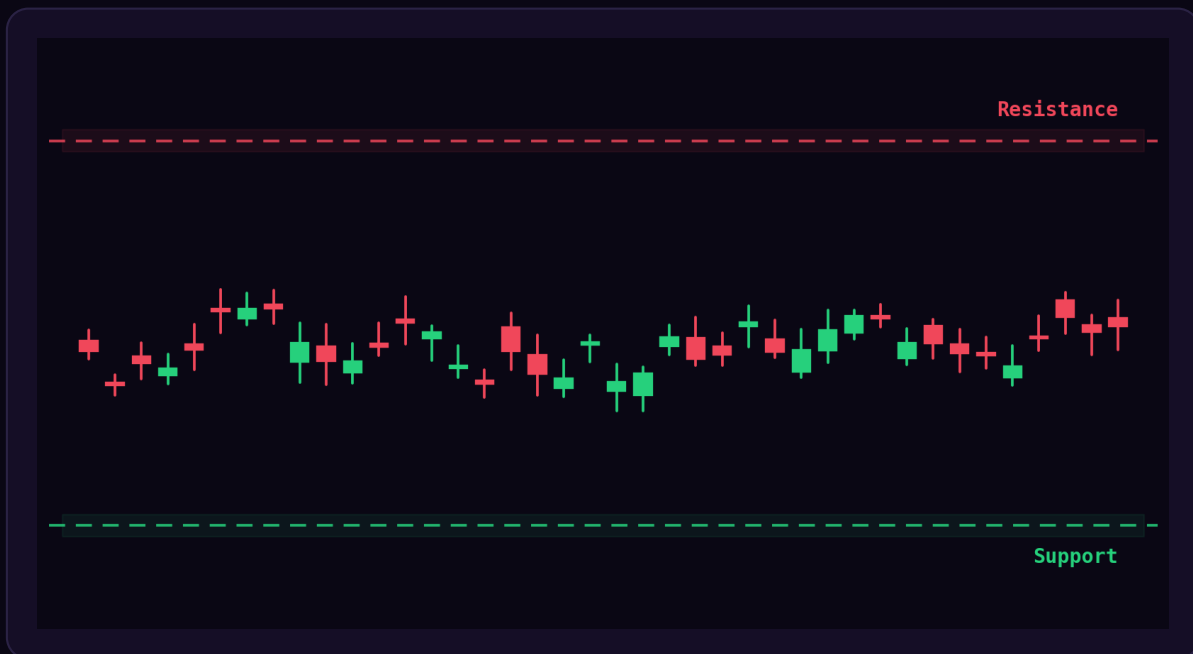
Range

Price oscillates between a ceiling and a floor with no clear direction.

MARKET STRUCTURE

Support & Resistance

Support is a price level where buying pressure has repeatedly stepped in to stop price from falling further. Resistance is the opposite — a level where selling pressure has repeatedly capped price from rising. Price tends to bounce between these zones until it eventually breaks through one of them.



MARKET STRUCTURE

Trendlines

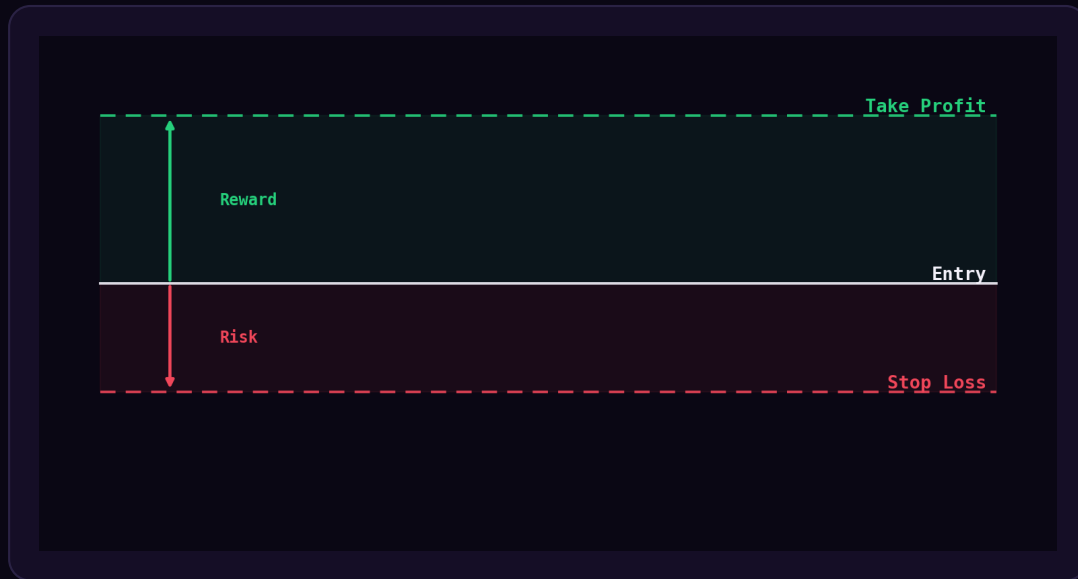
A trendline connects a series of swing highs or swing lows to visualize the angle and strength of a trend. An ascending trendline is drawn along rising swing lows and often acts as dynamic support — price tends to bounce off it the same way it bounces off a horizontal support level.



ADVANCED

Risk Management Basics

Even a good read on price action means nothing without controlling how much is risked per trade. Every trade should be planned around three fixed points before it's ever entered.

**Entry**

The price at which a position is opened, based on a signal from price action, structure, or a level.

Stop Loss

A predefined price that closes the trade automatically if it moves against you, capping the loss.

Take Profit

A predefined price that closes the trade automatically once the target profit is reached.

SUMMARY

Putting It All Together

A complete read of a chart combines everything covered in this guide:

01 Identify structure

Is price trending up, down, or ranging?

02 Mark key levels

Where has price reacted before — support, resistance, or a trendline?

03 Watch price action

What candle patterns are forming as price approaches that level?

04 Plan the trade

Define entry, stop loss, and take profit before entering — never after.

05 Manage risk

Only risk a small, consistent portion of the account on any single trade.

This project is ongoing — the goal is to keep refining these skills through consistent chart review, journaling trades, and studying how price reacts at the levels identified ahead of time.